Let's go back to when you first started out at Citigroup the week the U.K. was forced out of the ERM. When did you begin trading?

My first trade ever was the year after. They gave new traders small limits they were allowed to trade. I remember doing a really good fundamental analysis about the U.K. economy and deciding that the rate hikes the market was pricing in were not going to happen. I proved to be perfectly correct. Three months later, they still hadn't hiked rates, and short sterling [U.K. short-term interest rates] rallied 100 basis points from where I had the trade idea. Well, I lost money.

How did you lose money when your forecast was exactly correct?

It's pretty straightforward. The implementation didn't match the hypothesis. The hypothesis was clearly a one-to-three-month horizon. So, I should have traded a one-to-three-month horizon. What did I do? I was constantly getting in and out because I was scared of losing money. The rational trade hypothesis was beautiful. The implementation was entirely emotional and stupid. I realized that you have to embrace uncertainty and risk. Over a three-month period, it is the trend that is important.

I guess the lesson is that the market is not going to let you make any money unless you're willing to take risk.

You have to embrace the logical consequences of your ideas, and that means that you have to have a stop loss that is wide enough.

So even though you were on the right side of the trend for three months, you lost money because you kept on getting stopped out.

Yes, because I had read trading books. It took me a while to realize that those trading books are counterproductive because the rules are generic and not specific. Most trading book rules are designed for people who have the error of excess optimism and are in emotional denial of their losses. Trading book rules are designed to protect traders who are gamblers. People who like trading because they like gambling are always going to be terrible at it. For these people, the trading books could be greatly shortened to the message: "Don't trade. You are really bad at this. So just don't do it." I don't actually have a gambler's mentality. I make